STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

At a session of the Public Service Commission held in the City of Albany on June 16, 2022

COMMISSIONERS PRESENT:

Rory M. Christian, Chair
Diane X. Burman
James S. Alesi
Tracey A. Edwards
John B. Howard
David J. Valesky
John B. Maggiore

CASE 17-E-0238 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service.

CASE 17-G-0239 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Gas Service.

CASE 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

CASE 20-E-0380 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service.

CASE 20-G-0381 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Gas Service.

ORDER AUTHORIZING ALTERNATIVE RECOVERY MECHANISM FOR UNBILLED FEES

(Issued and Effective June 17, 2022)

BY THE COMMISSION:

INTRODUCTION

On February 7, 2022, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY), KeySpan Gas East Corporation d/b/a National Grid (KEDLI), and Niagara Mohawk Power Corporation d/b/a National Grid (NMPC), altogether referred to as the Companies, filed petitions seeking Commission approval to establish alternative recovery mechanisms to recover Unbilled Fees[1] deferrals that resulted from the PAUSE Order[2] and laws enacted during the COVID-19 pandemic (Pandemic).

KEDNY and KEDLI propose to reconcile these Unbilled Fees for each rate year of their currently effective KeySpan rate plans (KEDNY/KEDLI Rate Plans).[3] KEDNY and KEDLI have calculated their respective deferrals for Rate Year One as $12.959 million and $5.925 million. KEDNY and KEDLI propose to collect these amounts from customers through a surcharge effective July 1, 2022, through June 30, 2023. If KEDNY and

[1] These are late payment fees and other fees associated with customer non-payment including, but not limited to, field collection, reconnection, and collection agency fees (Unbilled Fees or Lost Revenues).

[2] New York State on PAUSE(PAUSE Order), Executive Order 202.8, signed on March 20, 2020, closed all non-essential businesses statewide.

[3] Cases 19-G-0309 and 19-G-0310, KEDNY & KEDLI – Rates, Order Approving Joint Proposal, As Modified and Imposing Additional Requirements (issued August 12, 2021) (KEDNY/KEDLI Rate Order). Under the plan, Rate Year One, Rate Year Two and Rate Year Three end March 31, 2021, March 31, 2022, and March 31, 2023, respectively.

KEDLI record deferrals for Rate Years Two and Three under their rate plans, KEDNY and KEDLI propose a surcharge or surcredit to be collected or passed back over the 12-month periods ending June 30, 2024, and June 30, 2025, respectively.

NMPC proposes to reconcile these Unbilled Fees for the last 15 months of their prior rate plan[4] and for Rate Year One and Two of their current rate plan[5]. NMPC calculated the deferral for the initial 15-month period, or April 1, 2020, through June 30, 2021, as $17.143 million for electric and $3.396 million for gas. NMPC proposes to collect these amounts from customers through a surcharge effective from July 1, 2022, through June 30, 2023. If NMPC records deferrals for Rate Years One and Two under its current rate plan, NMPC proposes a surcharge or surcredit to be collected or passed back over the 12-month periods ending June 30, 2024, and June 30, 2025, respectively.

Additionally, KEDNY, KEDLI, and NMPC propose to commit $1.2 million, $0.4 million, and $1.9 million of the Unbilled Fees deferral, respectively, toward addressing customer utility arrearages.

By this Order, the Commission authorizes the Companies to establish a surcharge to recover the Unbilled Fees for Rate Year One for KEDNY and KEDLI and for the 15-month period described above for NMPC. Additionally, the Commission

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[4] Cases 17-E-0238 and 17-G-0239 National Grid – Rates, Order Adopting Terms of Joint Proposal, Establishing Rate Plans and Reporting Requirements (issued March 15, 2018) (2018 NMPC Order).

[5] Cases 20-E-0380 and 20-G-0381, NMPC – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans (issued January 20, 2022) (2022 NMPC Rate Order), with Rate Year One, Rate Year Two and Rate Year Three ending June 30, 2022, June 30, 2023, and June 30, 2024, respectively.

authorizes the Companies to surcharge or surcredit deferred Unbilled Fees for KEDNY and KEDLI's Rate Years Two and Three and NMPC's Rate Years One and Two, net of offsetting cost reductions resulting from the Pandemic.

BACKGROUND

Since March 2020, the Pandemic has significantly affected public health and caused substantial economic impacts in New York. Accordingly, on March 7, 2020, the Governor declared a disaster emergency in the State of New York (COVID-19 State Disaster Declaration).[6]

On June 17, 2020, the Governor signed into law as Chapters 108 and 126 of New York's Laws of 2020, the Parker-Mosley Law, which, among other things, required utility corporations to provide residential customers a right to enter into deferred payment agreements "without the requirement of a down payment, late fees, or penalties, as such is provided for in this article." The provisions would remain in effect until 180 days after the COVID-19 State Disaster Declaration is lifted or expires.

On May 11, 2021, the Governor signed into law amendments to the Public Service Law (PSL) and General Business Law (GBL) that provide an expansion of the moratorium on terminations and disconnections of electricity, gas, steam, landline telephone, cable television, broadband, and water services to customers during and after the COVID-19 State Disaster Declaration. The amendments to PSL §32 require service providers to offer deferred payment agreements without down payments, late fees, or penalties to eligible residential and

[6] Executive Order Number 202 – Declaring a Disaster Emergency in the State of New York, issued March 7, 2020.

small commercial customers during the COVID-19 State Disaster Declaration. The prohibition on down payments, late fees, or penalties in deferred payment agreements applies to all arrears incurred throughout the duration of the COVID-19 State Disaster Declaration. Finally, implementation of the provisions of the PSL and GBL amendments does not prohibit a utility from recovering lost or deferred revenues after either the lifting or expiration of the COVID-19 State Disaster Declaration or December 31, 2021, with the later occurring first.[7]

In response to the PAUSE Order and the amendments to the PSL and GBL discussed above, in March 2020, KEDNY, KEDLI, and NMPC stopped collecting the Unbilled Fees. The Companies did not collect these fees through December 2021 but did resume assessing late payment charges in January 2022.

The KEDNY/KEDLI Rate Order adopted a joint proposal that includes an Exogenous Costs provision that authorizes KEDNY and KEDLI to defer the unanticipated impact of a law or regulation on its costs, revenues, or revenue requirements.[8] To qualify for deferral treatment under the Exogenous Costs provision, the impact to KEDNY and KEDLI must meet a minimum threshold equating to three percent of the pre-tax utility income in a given rate year. For Rate Year One, this deferral threshold was $4.1 million for KEDNY and $4.8 million for KEDLI. For this same time period, KEDNY and KEDLI deferred $12.959 million and $5.925 million of Unbilled Fees, respectively. These amounts are net of Pandemic-related savings associated

[7] On June 24, 2021, the Governor signed Executive Order 210, which formally rescinded the State Disaster Declaration declared on March 7, 2020. Accordingly, the 180-day period ran through December 21, 2021.

[8] KeySpan Rate Order, Joint Proposal, Section XVIII, 2, pp. 193-194

with field operations collection, replevin, and locksmith expenses, providing offsets of $1.692 million for KEDNY and $0.089 million for KEDLI. The calculated Unbilled Fees deferrals for Rate Year One meet the materiality thresholds required in the KEDNY/KEDLI Rate Order.

The 2018 and 2022 NMPC Rate Orders adopted joint proposals that include Externally Imposed Costs provisions that authorize NMPC to defer the unanticipated impact of a law or regulation on its costs, revenues, or revenue requirements. To qualify for deferral treatment under the Externally Imposed Costs provision of the 2018 NMPC Rate Order, the impact to NMPC must meet a minimum threshold equating to $8.8 million for NMPC's electric operations and $2.3 million for gas operations in a given rate year.[9] For the rate year ending March 31, 2021, NMPC deferred $13.715 million and $2.717 million of Unbilled Fees, for electric and gas, respectively, net of Pandemic related savings associated with field operations collection, replevin, and locksmith expenses, providing offsets of $1.067 million for electric and $0.267 million for gas. For the three-month bridge period April 1, 2021, through June 30, 2021, the prorated minimum threshold is $2.2 million for electric and $0.575 million for gas. For this time period, NMPC deferred $3.428 million and $0.679 million for electric and gas, respectively, net of related savings of $0.232 million for electric and $0.058 million for gas. The calculated Unbilled Fees deferrals for the period April 1, 2020, through June 30, 2021, meet the materiality thresholds required in the 2018 NMPC Rate Order.

[9] The 2022 NMPC Rate Order has a minimum threshold equal to 25 basis points, applied separately for electric and gas operations.

Under Generally Accepted Accounting Principles (GAAP), a utility may only record a deferral related to revenues on its financial statements if the utility will recover it within 24 months from the end of the annual period in which it was recognized. To address the discrepancy between the Commission's traditional method of disposing of deferrals in the next rate proceeding and GAAP, the Companies propose to establish a surcharge mechanism that permits full recovery of the deferred Lost Fees during GAAP's 24-month recovery timeframe. Additionally, KEDNY and KEDLI, seek approval of a surcharge/surcredit mechanism for Rate Years Two and Three under their current rate plans, by which they would collect or refund any Unbilled Fees deferral through a surcharge or surcredit during the 12-month periods ending June 30, 2024, and June 30, 2025, respectively. NMPC seeks approval of a surcharge/surcredit mechanism for Rate Years One and Two under its current rate plan, by which it would collect or refund any Unbilled Fees deferral through a surcharge or surcredit during the 12-month periods ending June 30, 2024, and June 30, 2025, respectively.

The Companies propose to implement the Late Payment Charge and Other Waived Fees (LPCO) Surcharge to recover lost revenues. KEDNY and KEDLI would include the LCPO through the Delivery Adjustment Mechanisms (DRA). NMPC proposes to include the LCPO in the Delivery Service Adjustment Mechanism (DSA) for its gas customers. For its electric customers, the Surcharge would be included in the "Delivery" line item on the customer's bill[10]. The Companies propose to allocate the surcharge amounts

[10] The "Delivery" line item on the customer's bill currently includes the base delivery rate and several other surcharges such as the Electric Vehicle Make Ready, Dynamic Load Management, and Earnings Adjustment Mechanism.

to firm sales and transportation customers similar to how uncollectibles were allocated in the costs of service studies filed in their most recent rate cases. The Companies would exclude loads associated with customers taking service pursuant to the Empire Zone Riders and Excelsior Jobs Programs from the surcharges.

Finally, the Companies propose a shareholder contribution toward addressing customer utility arrearages. KEDNY, KEDLI, and NMPC propose to commit $1.2 million, $0.4 million, and $1.9 million of the deferred Unbilled Fees, respectively, toward customer arrearages.

NOTICE OF PROPOSED RULE MAKING

Pursuant to the State Administrative Procedure Act (SAPA) §202(1), Notice of Proposed Rulemaking was published in the State Register on March 2, 2022 [SAPA No. 19-G-0309SP3 & SAPA No. 20-E-0380SP2]. The time for submission of comment pursuant to the Notices expired on May 2, 2022. No comments were received.

LEGAL AUTHORITY

Pursuant to PSL §§65 and 66 the Commission has the legal authority to review, as well as to modify, reject, or approve, in whole or in part, tariff amendments. As such, the Commission has the legal authority to review the Companies' filings and approve and make effective tariff amendments, as prescribed in this Order. As to the request for a surcharge for Rate Year One for KEDNY and KEDLI and for the period April 1, 2020, through June 30, 2021, for NMPC, and the proposal for a surcharge/surcredit in the two subsequent rate years, the Commission has broad authority pursuant to PSL §66(12) to

determine the revenues, rates, and charges of electric and gas utilities.

DISCUSSION AND CONCLUSION

The Companies assert that they have deferred Lost Revenues, net of related savings, in accordance with the terms of the applicable rate orders but cannot wait until the resolution of their next rate proceedings to collect these monies due to GAAP requirements. Accordingly, the Companies propose to collect these monies via surcharges. Additionally, the Companies propose to continue their reconciliations in the two subsequent rate years. We grant the Companies' petitions, with modifications, for the reasons discussed below.

With regard to the timing of the collection of these deferrals, we agree with the Companies' assertion that GAAP requires that certain regulatory deferrals must be recovered within 24 months to be recorded on the income statement. As such, recovery or refund of the deferrals via surcharge or surcredit mechanisms is appropriate.

KEDNY and KEDLI deferred $12.959 million and $5.925 million, respectively, of Unbilled Fees during Rate Year One of their rate plan. NMPC deferred $17.143 million and $3.396 million for its electric and gas operations, respectively, during the 15-month period identified above. The Companies calculated these amounts by taking the Unbilled Fees for the periods stated and reducing those fees by related savings, as described above.[11] The Companies also applied interest to the Lost Revenues, which they calculated using the pre-tax weighted

[11] Savings are calculated by comparing the actual expenses to the amounts included in the applicable rate years for items such as replevin costs and seasonal collections.

average cost of capital authorized in their respective rate plans. The Commission generally agrees with the Companies calculation of its deferral and approves these amounts for collection.

Given the significant increase in arrears on which late payment fees can be assessed in 2022 and 2023, we anticipate that there could be a considerable increase in these revenues in the Companies' respective subsequent rate years. The Companies propose to reconcile these revenues for these same rate years. However, the petitions do not clearly state whether the Companies propose that this reconciliation would be pursuant to the Exogenous Costs provision of the KEDNY/KEDLI Rate Order and the Externally Imposed Cost provision of the 2022 NMPC Rate Order, and, as such, be subject to the associated minimum financial impact threshold requirements set forth in the respective rate orders. To ensure that ratepayers receive the full benefit of any increase in these revenues in the outer rate years, we direct that the Companies fully reconcile these fees, net of savings calculated consistently with the instant petition, in the two subsequent rate years without any threshold requirement and collect/pass back any variance through the surcharge/surcredit mechanism discussed herein. Additionally, the Companies are required to submit a reconciliation of the Unbilled Fees, and related savings, for the deferral within 60 days after the end of the two subsequent rate years. These reconciliations will be subject to Staff's review. If concerns are identified and not resolved prior to the effective date of the surcharge, those concerns will be addressed in the Company's next rate proceeding.

The proposed implementation of gas LPCO Surcharge through the existing DRA and DSA is reasonable. These mechanisms allow the Company to appropriately allocate the costs

and determine surcharges for the applicable customers. Including the electric LPCO surcharge in the "delivery" line item for its electric customers is acceptable and is consistent with how other electric surcharges are implemented. Finally, the proposed allocation of the deferrals is consistent with how similar costs were allocated in cost-of-service studies filed in prior rate proceedings.

The proposed draft tariffs are generally consistent with the proposed surcharge implementation. However, the tariffs need to identify all applicable service classes, and include the actual allocation factors the Companies will use to determine the LPCO Surcharge rates. To effectuate the LPCO Surcharges, the Companies shall file tariff amendments, incorporating the modifications described herein, to be effective on July 1, 2022.

Lost Revenues is not the only issue resulting from the Pandemic. Customer arrearages, or unpaid past charges, are also a problem that the Commission and Staff have been working to address. On February 4, 2021, Staff issued a proposal that recommended that the Commission establish an arrears management plan at each utility to address the looming arrearage problem in New York State.[12] Staff proposed that shareholders contribute to solving the arrearages problem, in particular because of the benefits to them provided by Revenue Decoupling Mechanisms (RDM). These mechanisms were implemented specifically to address delivery rate disincentives to utility implementation of energy efficiency programs. RDMs, however, capture all variances in revenue, including the repercussions of the

[12] Cases 20-M-0266, et al., Proceeding on Motion of the Commission Regarding the Effects of COVID-19 on Utility Service, Staff Report on New York State's Energy Affordability Policy (filed February 4, 2021).

Pandemic's economic impacts. This is very different from the situation faced by businesses in competitive markets, which generally cannot raise their prices during such broad economic events. Shareholders were mostly insulated from the impacts of the Pandemic due to RDMs, and therefore, Staff argued that an equitable sharing of the arrearages problem between shareholders and customers is critical. Additionally, the Commission's Order Authorizing Phase 1 Arrears Reduction Program in the aforementioned proceedings reiterates the need for shareholder contribution toward the arrearages problem.[13]

The Companies have customer arrears of approximately $88 million, $37 million, and $219 million for KEDNY, KEDLI, and NMPC, respectively. The Companies have committed to using a portion of the deferred Unbilled Fees amounts toward addressing these customer utility arrearages, specifically $1.2 million, $0.4 million, and $1.9 million for KEDNY, KEDLI, and NMPC, respectively. Given the significant amount of arrearages resulting from the Pandemic, each utility's contribution toward an arrears management plan is critical to addressing the problem. The Commission views the Companies proposed contribution to help address arrearages as the minimum to make this program workable.

The Commission orders:

1. The Brooklyn Union Gas Company d/b/a National Grid NY is authorized to recover its fee deferral of $12.959 million through a surcharge commencing July 1, 2022, through June 30, 2023.

[13] Cases 20-M-0266, et al., supra, Order Authorizing Phase 1 Arrears Reduction Program (issued June 16, 2022).

2. KeySpan Gas East Corporation d/b/a National Grid is authorized to recover its fee deferral of $5.925 million through a surcharge commencing July 1, 2022, through June 30, 2023.

3. Niagara Mohawk Power Corporation d/b/a National Grid is authorized to recover its fee deferrals of $17.143 million and $3.396 million for electric and gas operations, respectively, through a surcharge commencing July 1, 2022, through June 30, 2023.

4. The Brooklyn Union Gas Company d/b/a National Grid NY, KeySpan Gas East Corporation d/b/a National Grid, and Niagara Mohawk Power Corporation d/b/a National Grid shall file, on not less than three days' notice and to become effective on July 1, 2022, tariff amendments to provide for the recovery of unbilled fees, consistent with the discussion in the body of this Order.

5. The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid shall provide a reconciliation of the Unbilled Fees and savings for Rate Years Two and Three under their respective rate plans consistent with the discussion in the body of this order.

6. Niagara Mohawk Power Corporation d/b/a National Grid shall provide a reconciliation of the Unbilled Fees and savings for Rate Years One and Two under its rate plan consistent with the discussion in the body of this order.

7. The Brooklyn Union Gas Company d/b/a National Grid NY shall recover or pass back the deferral for Rate Year Two and Rate Year Three under its rate plan during the periods from July 1, 2023, through June 30, 2024, and July 1, 2024, through June 30, 2025, respectively.

8. KeySpan Gas East Corporation d/b/a National Grid shall recover or pass back the deferral for Rate Year Two and Rate Year Three under its rate plan during the periods from

July 1, 2023, through June 30, 2024, and July 1, 2024, through June 30, 2025, respectively.

9. Niagara Mohawk Power Corporation d/b/a National Grid shall recover or pass back the deferral for Rate Year One and Rate Year Two under its rate plan during the periods from July 1, 2023, through June 30, 2024, and July 1, 2024, through June 30, 2025, respectively.

10. The requirements of Section 66(12)(b) of the Public Service Law and 16 NYCRR Section 720-8.1 that newspaper publication be completed prior to the effective date of the tariff amendments are waived. Further the Brooklyn Union Gas Company d/b/a National Grid NY, KeySpan Gas East Corporation d/b/a National Grid, and Niagara Mohawk Power Corporation d/b/a National Grid are directed to file with the Commission, not later than six weeks following the amendments' effective date, proof that a notice to the public of the changes made by the amendments has been published once a week for four successive weeks in newspapers having general circulation in the areas affected by the amendments.

11. In the Secretary's sole discretion, the deadlines set forth in this Order may be extended. Any request for an extension must be in writing, must include a justification for the extension, and must be filed at least three days prior to the affected deadline.

12. These proceedings are continued.

By the Commission,

(SIGNED) MICHELLE L. PHILLIPS
Secretary